

On Warsh and AI

Multi-Asset Strategy

Multi-Asset Global

- ◆ Despite Warsh's concerns about inflation breadth...
- ◆ ...the very latest readings show modest improvement
- ◆ AI productivity gains are becoming increasingly clear

Inflation breadth is too high – this was one conclusion from Fed Chair Warsh's Jackson Hole speech. This is something we have been tracking for some time with our inflation heatwaves, which we now adapt to focus on core PCE. While inflation breadth remains higher than in the 2010s, it doesn't look all that different from the 2000s. What's more, we have seen inflation decline on a broad basis since February.

With a September hike c.70% priced, upcoming data releases are key. US data have already started disappointing in Q3 (see [Transatlantic Trades](#), 24 Aug). Our US [labour](#) and [inflation](#) dashboards show a significant loss in momentum. More of this is needed in the next couple of weeks to convince the market the Fed won't hike.

At Jackson Hole, Warsh also spoke about AI and its impact on the economy. In large-cap companies we are now seeing the productivity benefits of AI adoption. Companies that have adopted AI in recent years have seen stronger revenue growth, stronger earnings growth, and margins rising faster than companies that have not adopted AI. This goes some way to explaining very strong earnings growth recently, and why equity markets remain relatively unfazed by higher yields.

AI demand remains elevated – and has accelerated this summer in the US. Alongside this, we have seen a renewed rise in memory chip prices. This, together with our view that hyperscalers should start leading again, supports our US equity overweight. The consensus expects US RoEs to wane vs other major markets in the coming years. We disagree with this and believe the near fifteen-year structural trend of US RoE improving vs the rest of the world should reassert itself.

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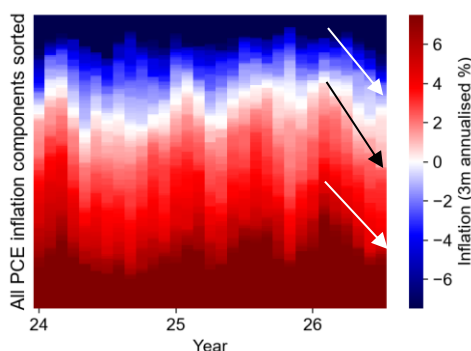
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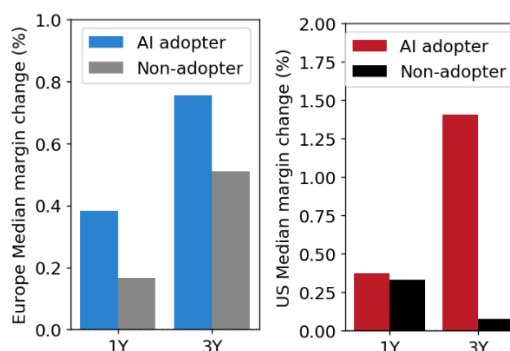
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3m annualised PCE inflation heatwave



Source: HSBC, Bloomberg

AI adopters seeing better results



Source: HSBC, FactSet, LSEG-TKRD Note: excludes financials

Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Bank plc

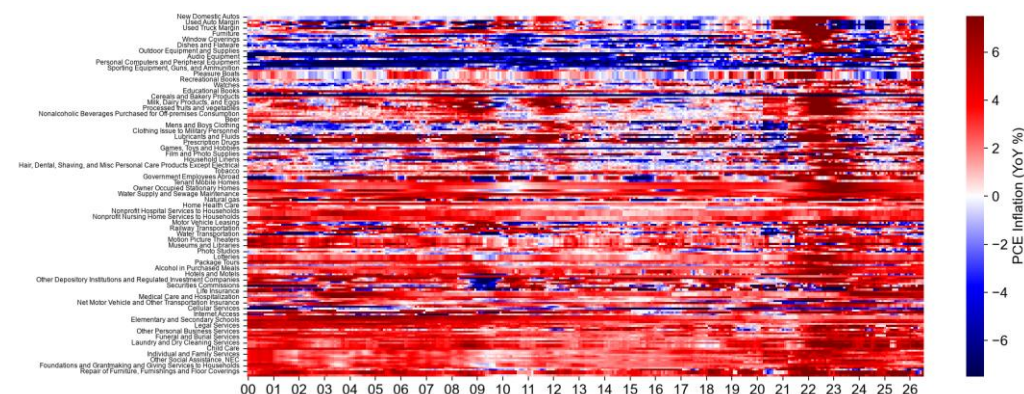
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Inflation breadth is one factor that Wash alluded to at his Jackson Hole speech (see [Jackson Hole Multi-Asset Reaction](#), 28 August). He noted: “To try to gauge underlying inflation, I find it instructive to disaggregate the 199 individual components of the PCE price measure. Over the past 12 months, 54 percent of goods and services in the PCE basket showed price increases above 3 percent. This is well below the post-pandemic highs of about 77 percent, but it remains well above the level of 32 percent in the two decades that preceded the pandemic.”

Inflation breadth is something we have been tracking in our inflation heatwaves. We do this for CPI, but repurposing them for PCE subcomponents gives a better indication of how the data is moving relative to Warsh's comments. By taking nearly 200 subcomponents of PCE prices, we can start to build out visualisations of how this inflation breadth is changing.

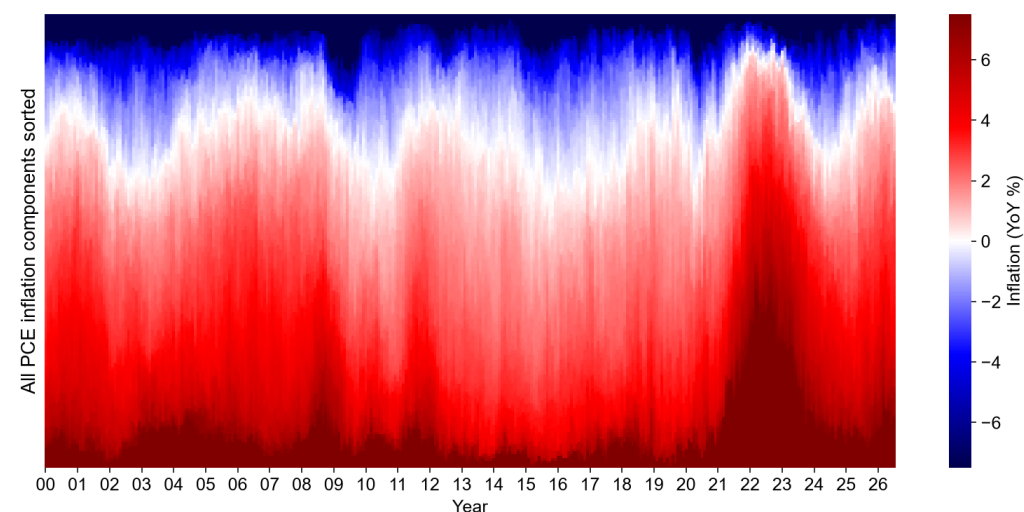
Chart 1 shows a heatmap of how inflation in these subcomponents has changed since 2000, where each row represents a different subcomponent of PCE. Chart 2 sorts each month from high to low, creating the PCE inflation heatwave. Here we can see how hot or cool inflation breadth is across the PCE basket.

1. Annual inflation across nearly 200 PCE categories (unsorted)



Source: HSBC, Bloomberg

2. Our PCE inflation heatwave (sorting each month in chart 1 from high to low)

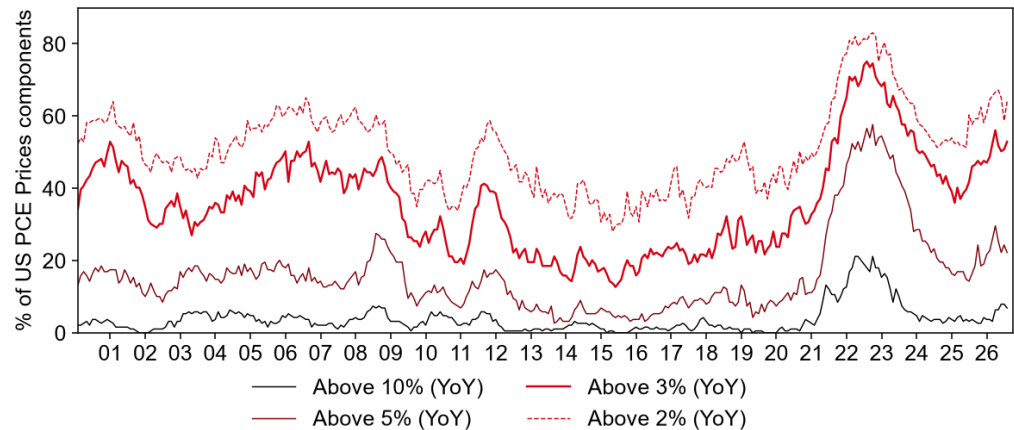


Source: HSBC, Bloomberg.

To specifically contrast Warsh's comments, chart 3 shows the proportion of PCE components above certain inflation rates. Here we see around 54% of PCE components currently have

inflation of 3% or more. While this is higher than almost any point in the 2010s, it is only a bit higher than the range seen in the 2000s. Further still, the proportion of PCE components above 2%, 5%, or 10% doesn't look too different to what we saw back in that pre-GFC period.

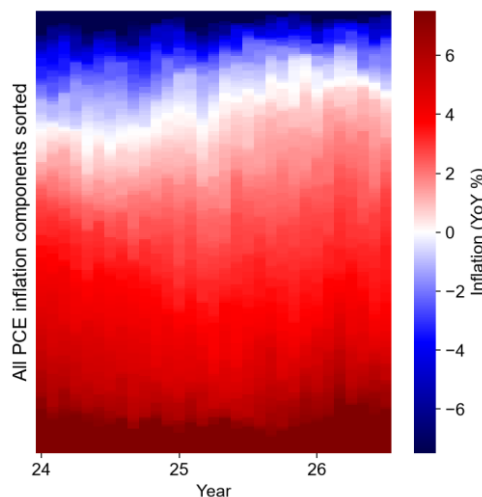
3. Proportion of PCE components above certain inflation rates



Source: HSBC, Bloomberg

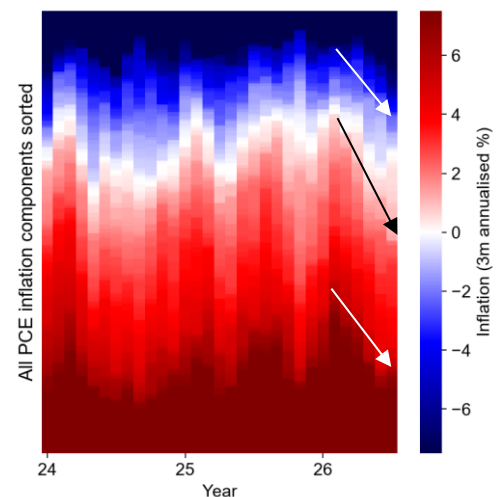
If we zoom in on our PCE inflation heatwave to recent years, not a lot seems to be changing (Chart 4). If we instead change the calculations to 3m annualised changes, rather than year-on-year rates of inflation, we can see broad disinflation since February (Chart 5). It was back in February that the market was pricing a series of cuts for the Fed. Now that the data has turned more dovish on inflation by this measure, the market has instead turned more hawkish.

4. YoY PCE inflation heatwave since 2024



Source: HSBC, Bloomberg

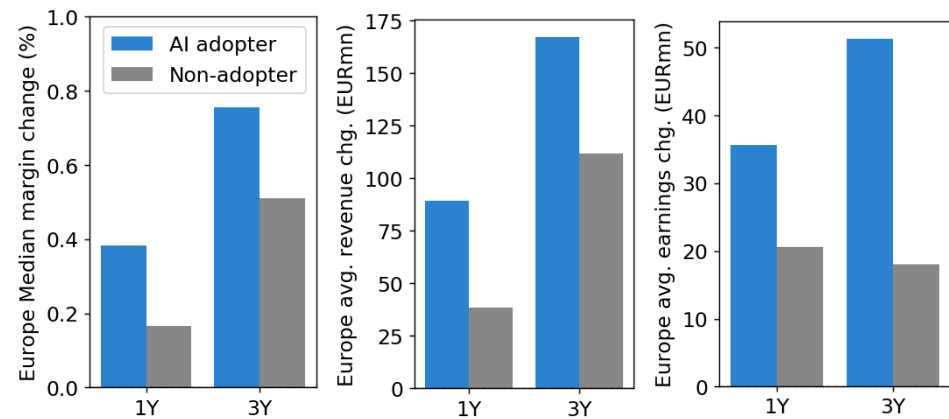
5. 3m annualised PCE inflation heatwave



Source: HSBC, Bloomberg

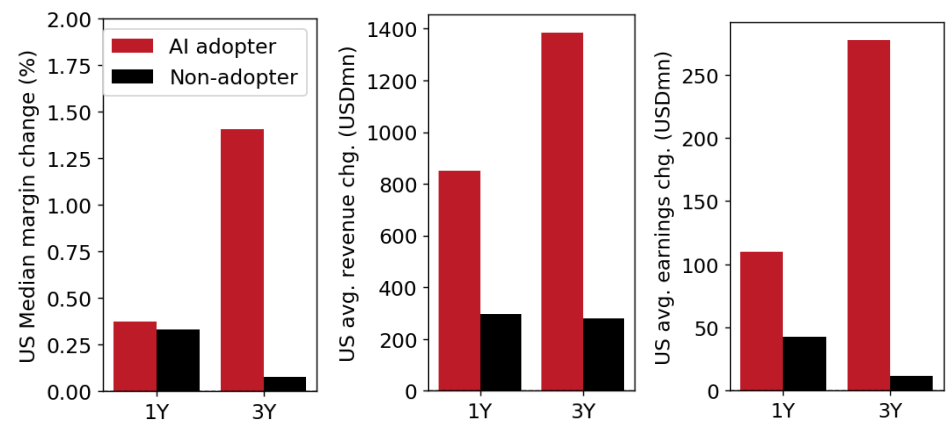
Another key theme in Warsh's Jackson Hole speech was the uncertainty around the impact of AI on the economy. We think the impact of AI adoption is starting to make itself clear. Recent earnings seasons have been phenomenally strong in both the US and Europe with margins inflecting higher (see [Transatlantic Trades](#), 24 Aug). AI is a factor in this strength. Indeed, fundamentals are all improving faster for AI adopters in the US and Europe vs their non-adopters (Charts 6-7).

6. AI adopters seeing improving fundamentals in Europe...



Source: HSBC, FactSet, LSEG-TKRD Note: excludes Financials

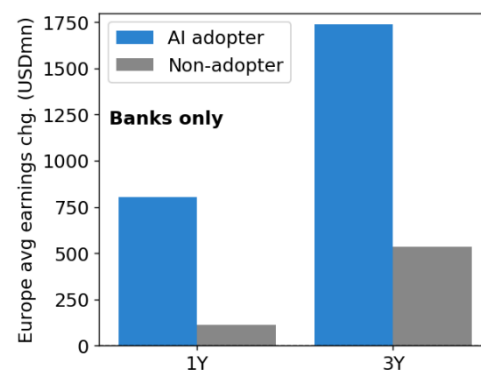
7. ...and in the US



Source: HSBC, FactSet, LSEG-TKRD Note: excludes Financials

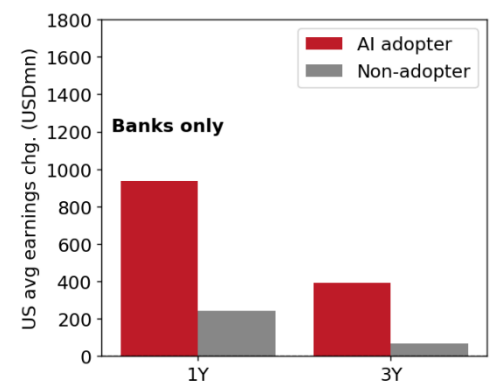
The US is outperforming in improving fundamentals in recent years, when noting the scale of the axes between charts 6-7. One exception is banks (Charts 8-9). We continue to like European banks and think that the industry is one of the best places to play AI adoption.

8. European banks and AI adoption -



Source: HSBC, FactSet, LSEG-TKRD

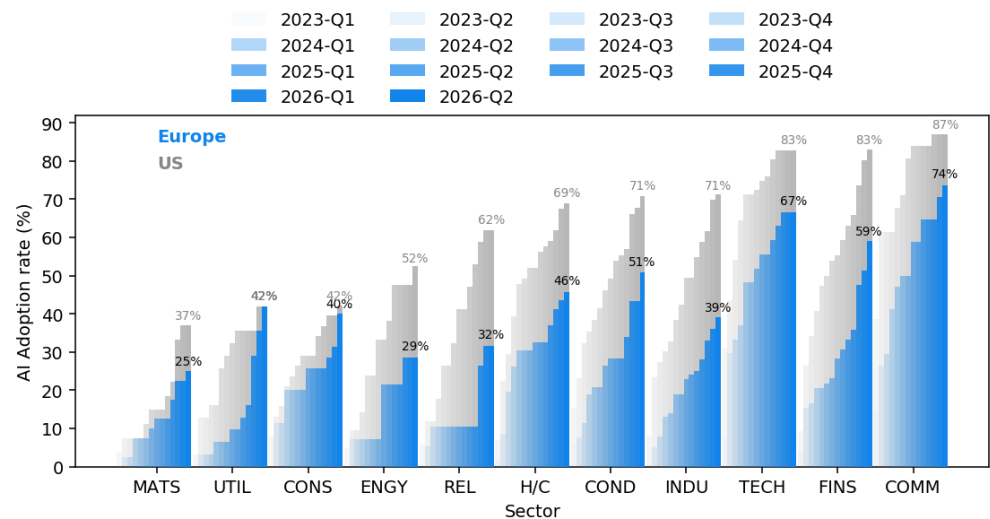
9. US banks and AI adoption



Source: HSBC, FactSet, LSEG-TKRD

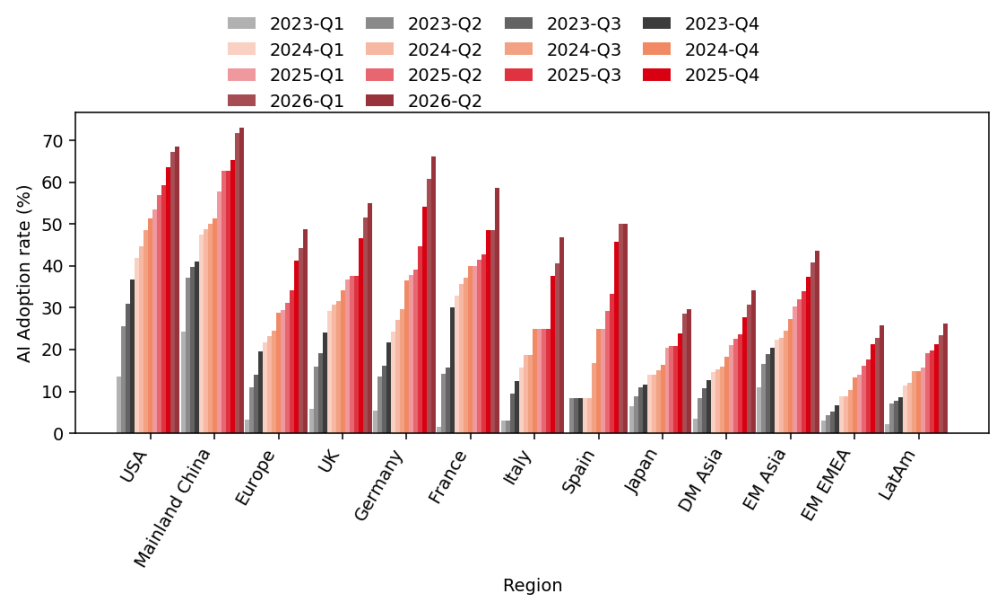
AI adoption continues to increase. Our measures track companies that have given tangible examples of adopting AI on company earnings calls. This continues to increase (Charts 10-11). Yet this does little to address the intensity of AI adoption – the consumption rate of tokens, or whether a company is adopting AI agentially or not. Ramp AI tracks AI spend for US businesses on AI. That has increased rapidly through summer again (Chart 12).

10. AI adoption in sectors in the US vs Europe



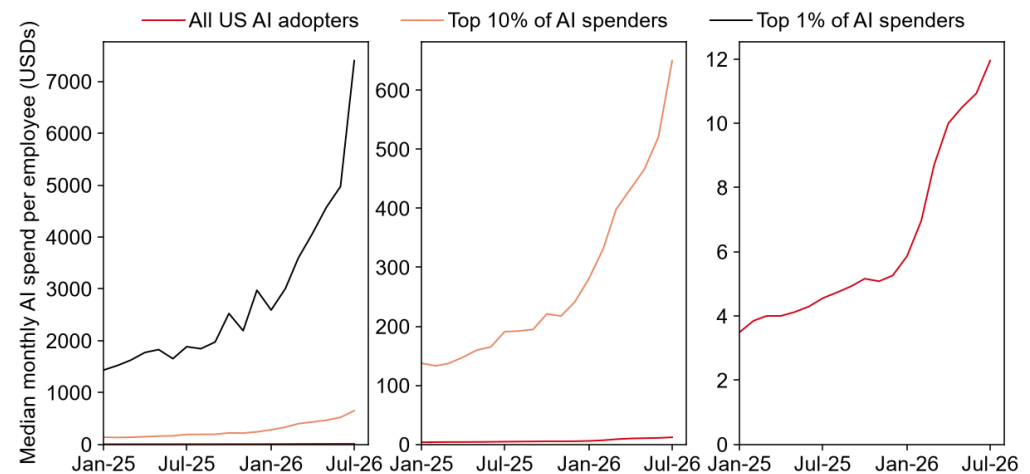
Source: HSBC, LSEG-TKRD

11. AI adoption by equity market



Source: HSBC, LSEG-TKRD

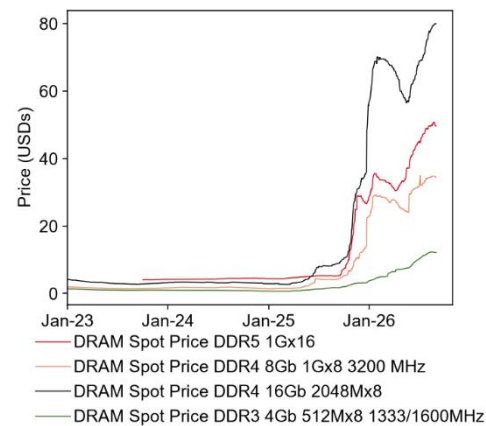
12. RampAI: US AI adoption



Source: HSBC, RampAI

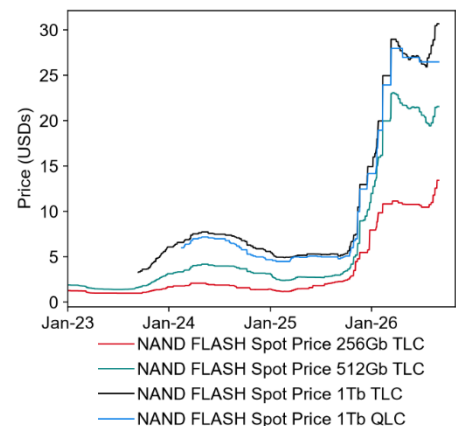
Alongside potentially high and potentially accelerating AI adoption, memory chip prices are picking up again (Charts 13-14). After a long summer of semiconductors underperforming, we think this all sets the stage for outperformance once again.

13. DRAM spot prices



Source: HSBC, Bloomberg

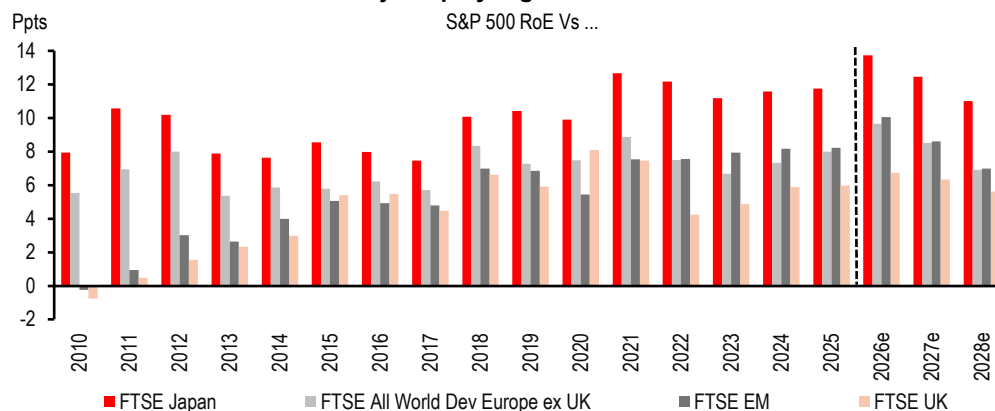
14. NAND spot prices



Source: HSBC, Bloomberg

We also think that hyperscalers can start performing well again (see [Change of view: Momo & Goldilocks](#), 31 July). All this plays into our US equity overweight. Return on Equity metrics are expected to rise around major markets in the coming years – which we largely agree with given the tailwind and evidence of AI adoption. Yet the consensus expects US RoEs to wane relative to other regions from 2027 (Chart 15). We find this hard to get on board with given (1) the aforementioned stronger evidence of better AI adoption in the US (ex financials), (2) that the US is still the epicentre of the data centre buildout, (3) strong weights to semiconductors in the US index – particularly vs Europe, and (4) a near fifteen-year structural trend has told us the US generally becomes more profitable with time.

15. US RoEs relative to other major equity regions

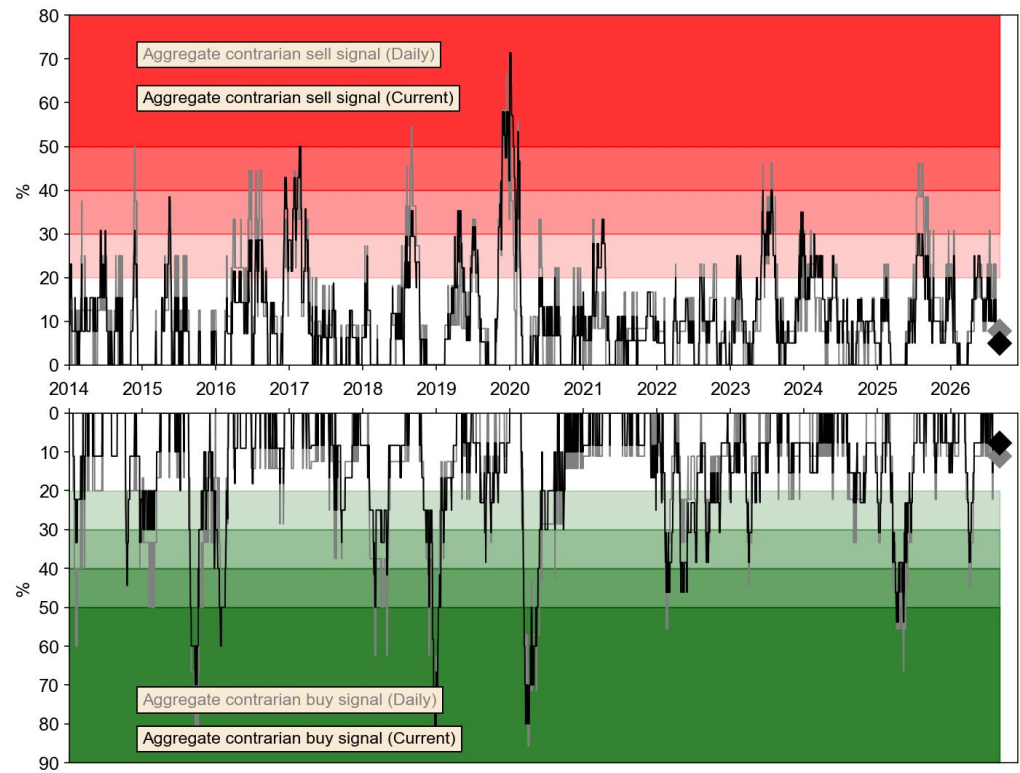


Source: HSBC, Factset

Sentiment/Positioning (1)

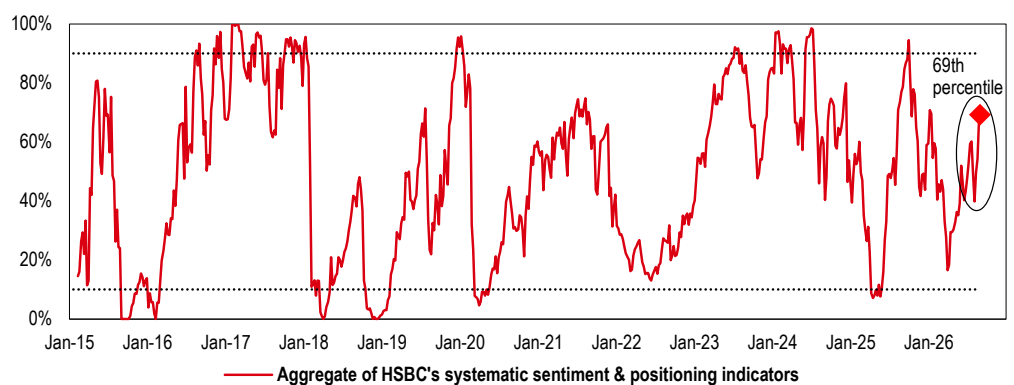
See [Sentiment shape up](#)
 (5 March 2024) for further
 details

1. Our sentiment buy and sell signal indicators



Source: Bloomberg, LSEG Datastream, FactSet, NAAIM, HSBC. Note: The percentage represents the proportion of inputs sending a signal rounded to the nearest integer.

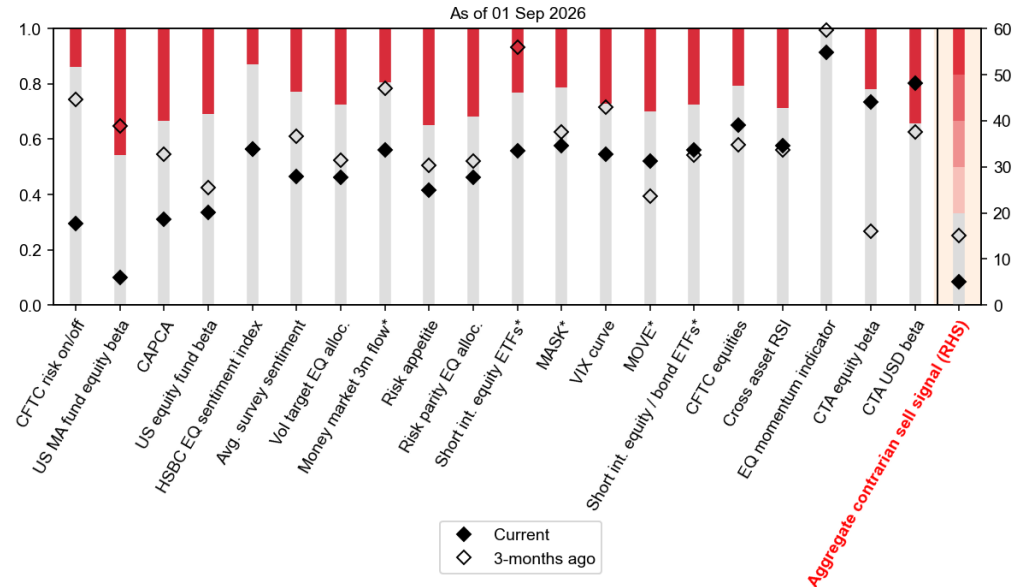
2. Aggregate systematic sentiment indicator



Source: Bloomberg, LSEG Datastream, FactSet, NAAIM, HSBC

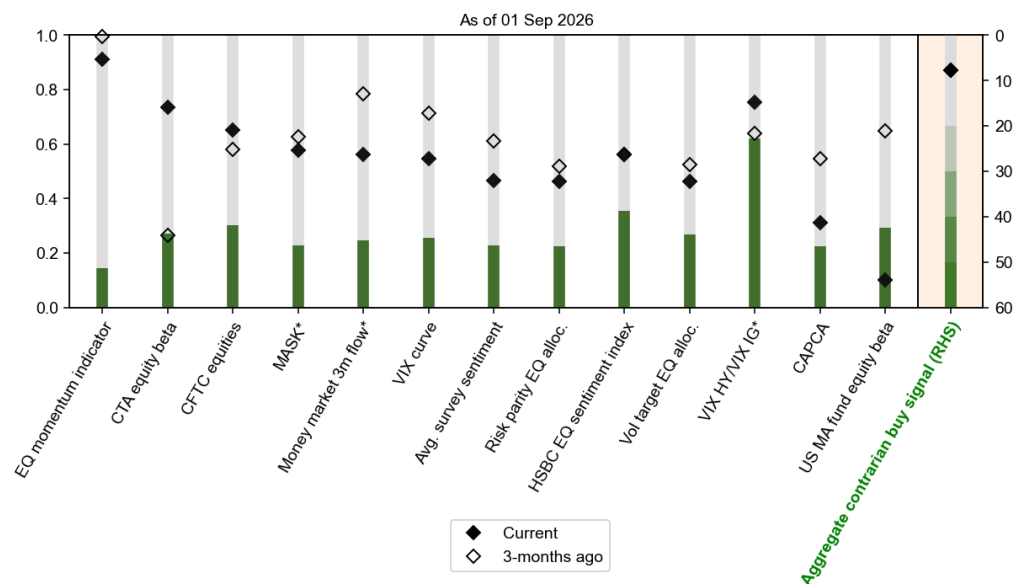
Sentiment/Positioning (2)

3. Factors driving our sentiment sell signal



Source: Bloomberg, LSEG Datastream, FactSet, NAAIM, HSBC. Note: LHS scale represents each input normalised from the start of 2022. RHS scale corresponds to the score of our aggregate sell indicator, which refers to the proportion of inputs sending a signal. The red shading represents when each input sends an outright contrarian sell signal, based on bespoke rules that we have set for each input. As per these rules, the values for each indicator do not exclusively refer to the level. Some represent the 1-month difference, 3-month difference, 6-month difference, or the 1-year difference. Please see from page 11 in [Sentiment shape up](#) (5 March 2024) for the full details. If no red shaded area, this means that the input has not sent a contrarian sell signal since the beginning of 2022. Although for our EQ momentum indicator this area is very small and hence difficult to see. *For these inputs, we have inverted the shading to aid comparison.

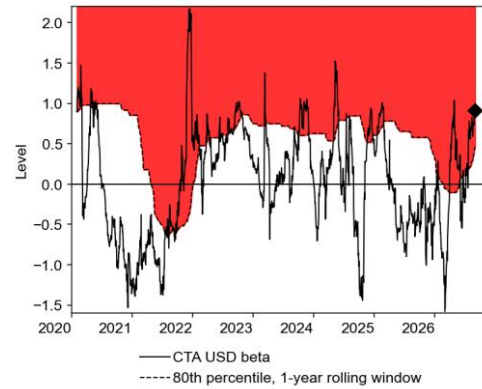
4. Factors driving our buy sentiment indicator



Source: Bloomberg, LSEG Datastream, FactSet, NAAIM, HSBC. Note: LHS scale represents each input normalised from the start of 2022. RHS scale corresponds to the score of our aggregate buy indicator, which refers to the proportion of inputs sending a signal. The green shading represents when each input sends an outright contrarian buy signal based on bespoke rules that we have set for each input. As per these rules, the values for each indicator do not exclusively refer to the level. Some represent the 1-month difference, 3-month difference, 6-month difference, or the 1-year difference. Please see from page 11 in [Sentiment shape up](#) (5 March 2024) for the full details. If no green shaded area, this means that the input has not sent a contrarian buy signal since the beginning of 2022. *For these inputs, we have inverted the shading to aid comparison.

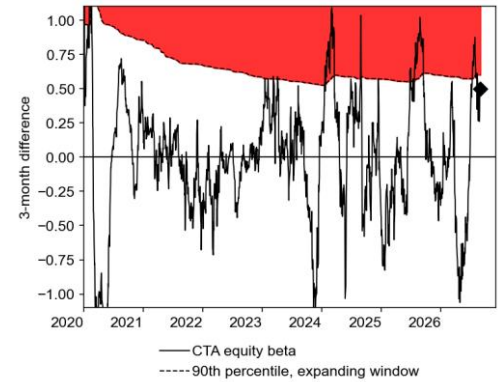
Sentiment/Positioning (3)

5. CTA USD beta



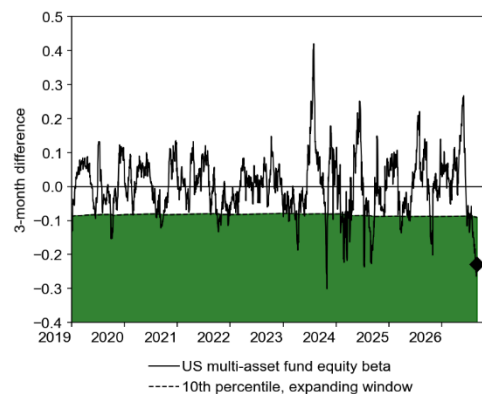
Source: Bloomberg, HSBC

6. CTA equity beta



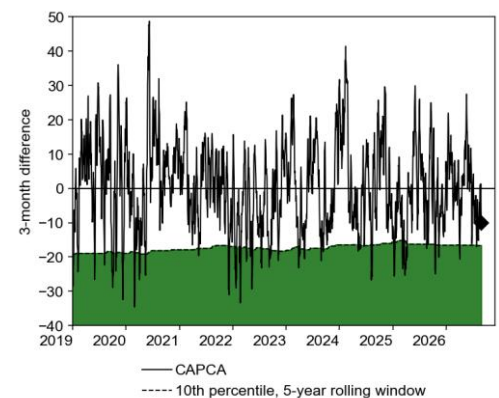
Source: Bloomberg, HSBC

7. US multi-asset fund equity beta



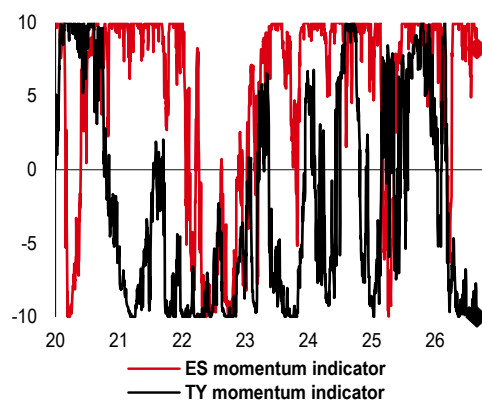
Source: Bloomberg, HSBC

8. CAPCA



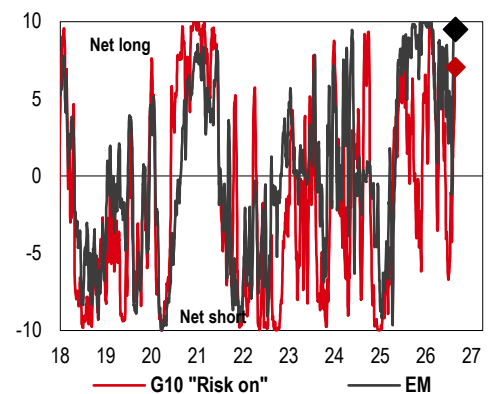
Source: Bloomberg, HSBC

9. US equities and Treasury positioning



Source: Bloomberg, HSBC

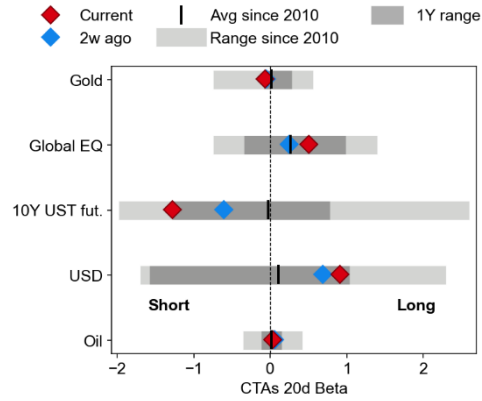
10. FX positioning



Source: Bloomberg, HSBC

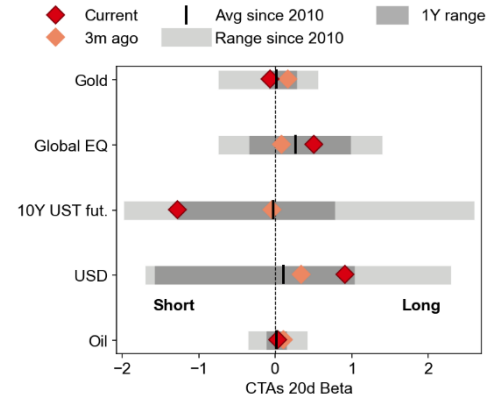
Sentiment/Positioning (4)

11. CTA positioning vs 2w ago



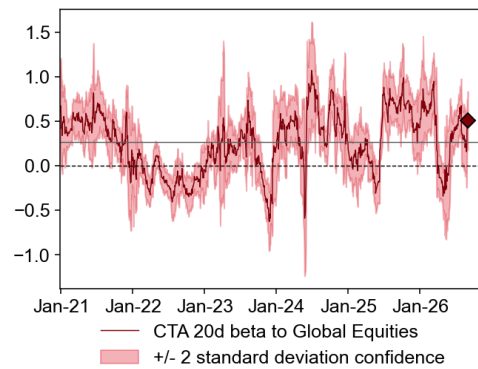
Source: Bloomberg, HSBC

12. CTA positioning vs 3m ago



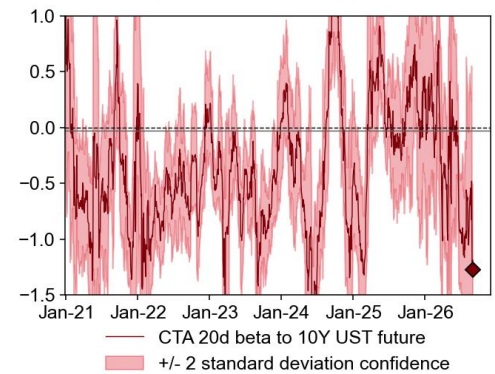
Source: Bloomberg, HSBC

13. CTA beta to global equities



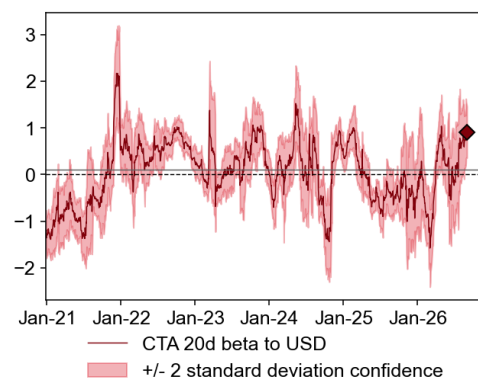
Source: Bloomberg, HSBC

14. CTA beta to US Treasuries



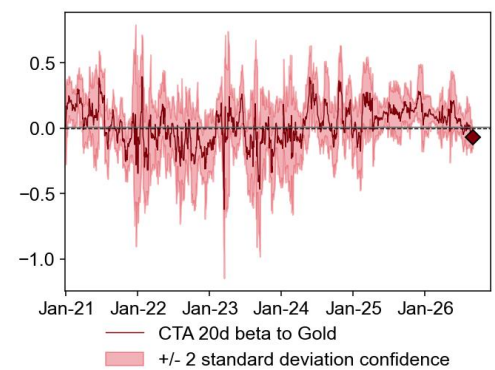
Source: Bloomberg, HSBC

15. CTA beta to the USD



Source: Bloomberg, HSBC

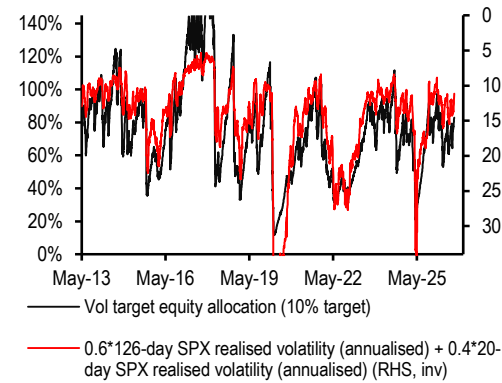
16. CTA beta to gold



Source: Bloomberg, HSBC

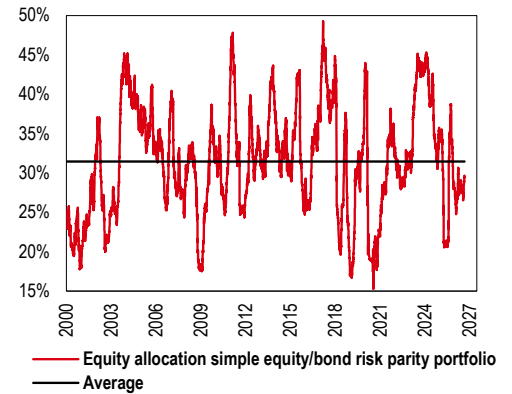
Sentiment/Positioning (5)

17. Vol target equity vs SPX vol



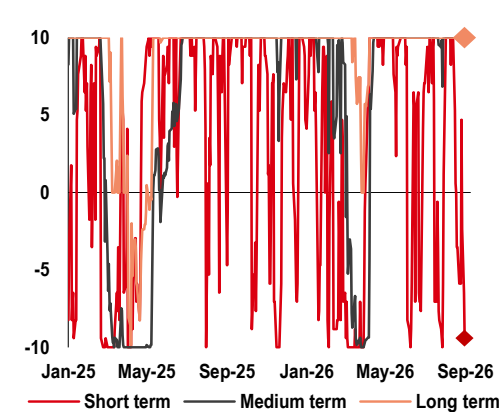
Source: Bloomberg, HSBC

18. Risk parity equity allocation



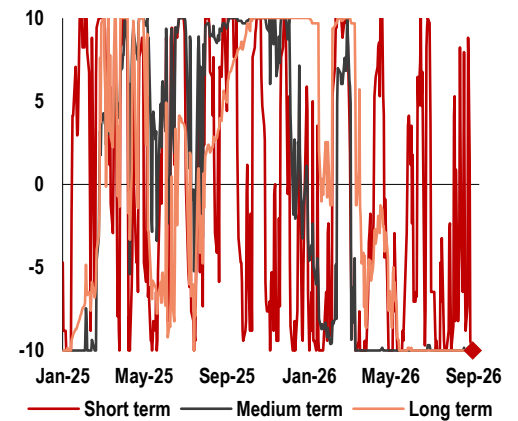
Source: Bloomberg, HSBC

19. ES1 positioning



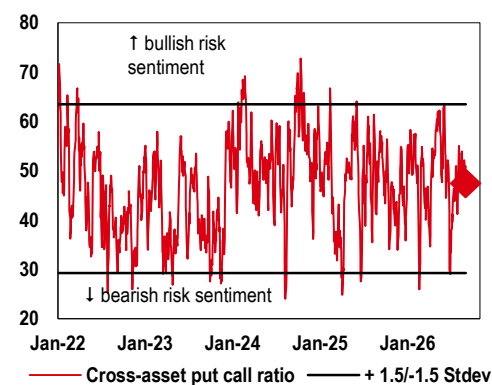
Source: Bloomberg, HSBC. Note: ES1 = S&P 500 futures. Short-term, medium-term and long-term basic momentum and moving average strategies span a wide range of time horizons ranging from one week to one month, three months to six months and nine months to 12 months, respectively (considering only trading days).

20. TY1 positioning



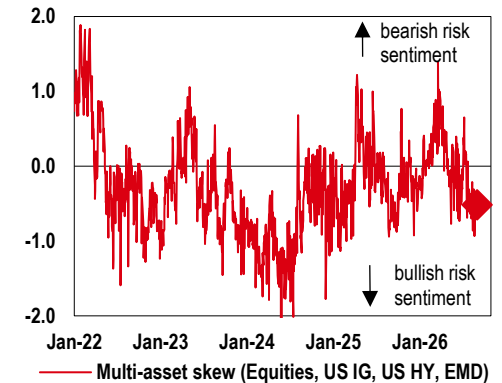
Source: Bloomberg, HSBC. Note: TY1 = 10-year US Treasury futures. Short-term, medium-term and long-term basic momentum and moving average strategies span a wide range of time horizons ranging from one week to one month, three months to six months and nine months to 12 months, respectively (considering only trading days).

21. CAPCA*



Source: Bloomberg, HSBC. Note: *See *Sweet or sour*, 5 September 2019.

22. MASK (90%-110%, 3M)

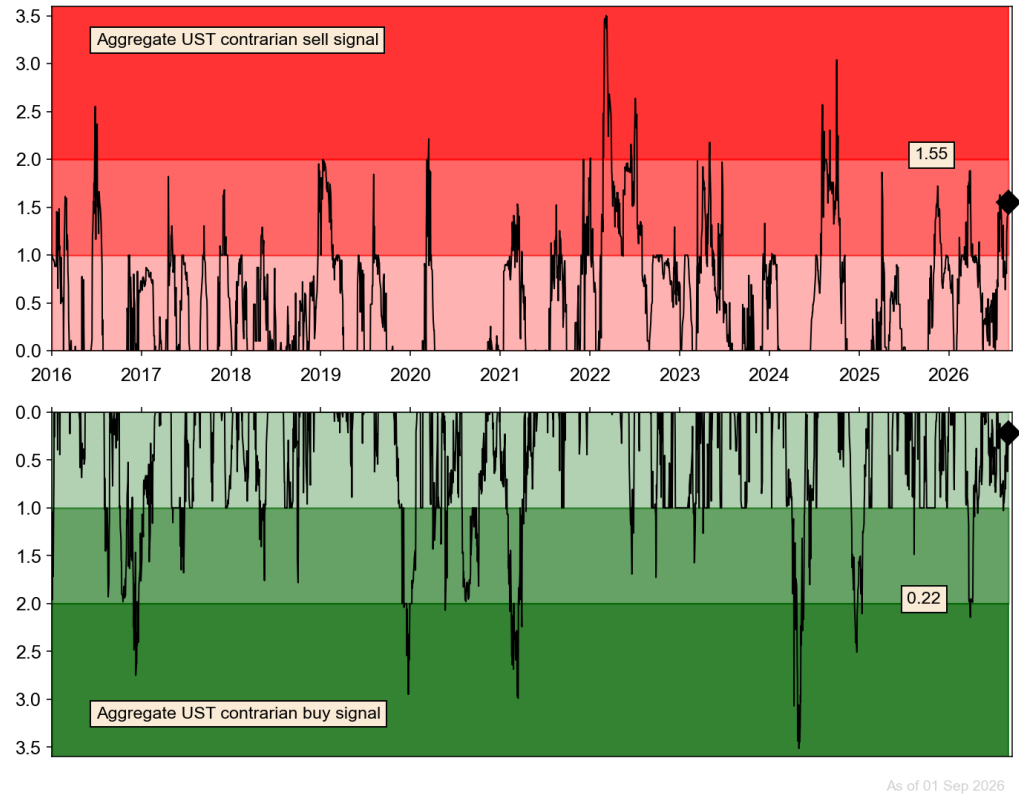


Source: Bloomberg, HSBC

Sentiment/Positioning (6): UST sentiment and positioning

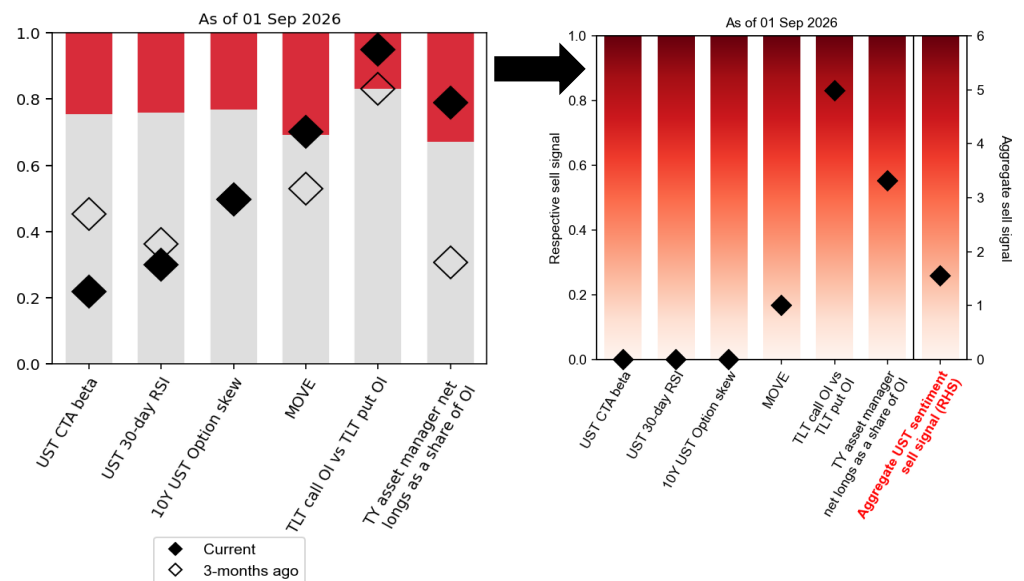
For more details, please see
[Rates sell-off: UST sentiment special](#) (18 May 2026)

23. Our aggregate UST sentiment buy and sell indicators



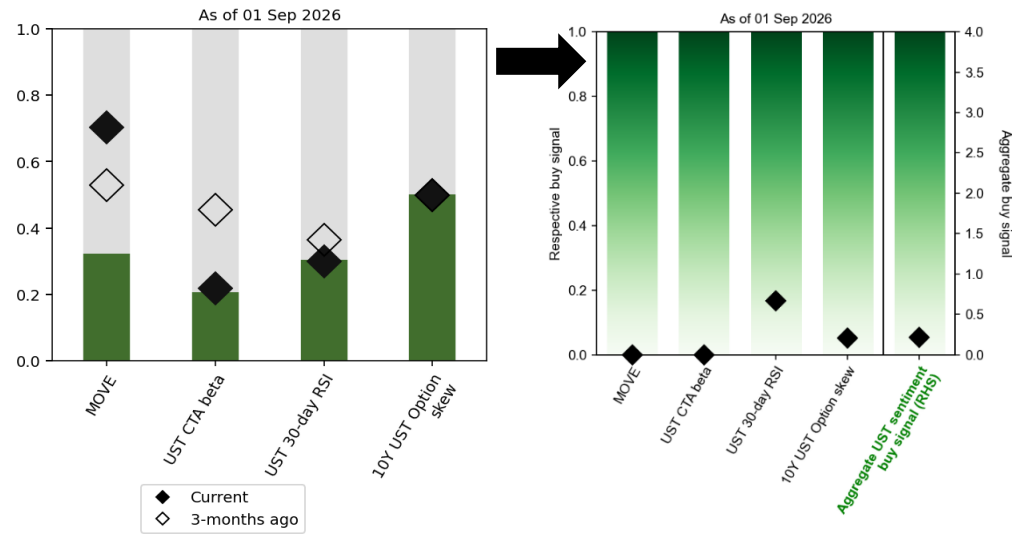
Source: Bloomberg, HSBC. Note: The score represents the sum of the individual scores from the incorporated inputs.

24. Factors driving our aggregate UST sentiment sell signal

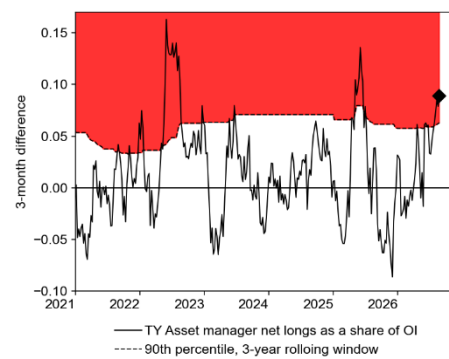


Source: Bloomberg, HSBC. Note: Y-axis scale represents each input normalised from the start of 2024.

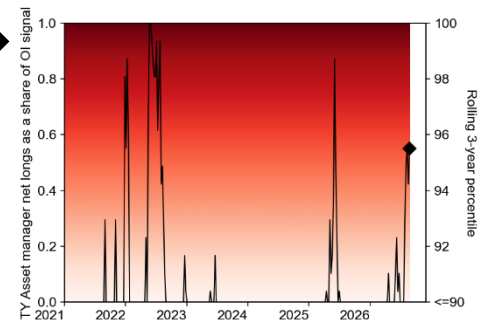
25. Factors driving our aggregate UST sentiment buy signal



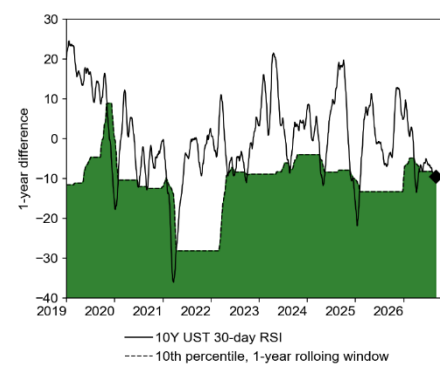
26. TY Asset manager net longs as a share of OI: Time series



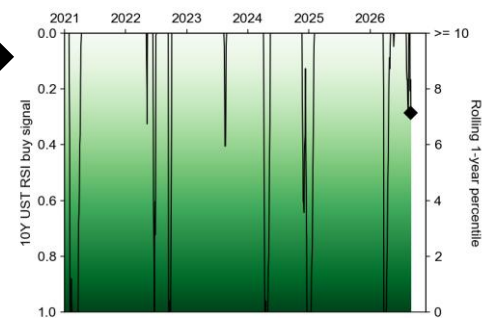
27. TY Asset manager net longs as a share of OI: Sell signal



28. UST 30-day RSI: Time series

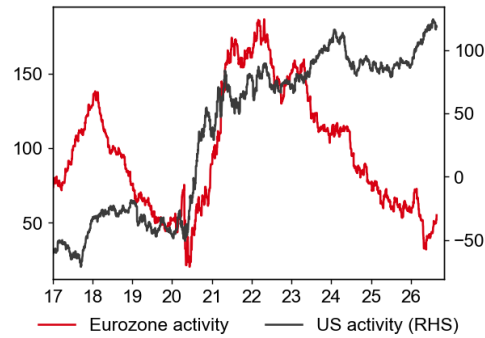


29. UST 30-day RSI: Buy signal



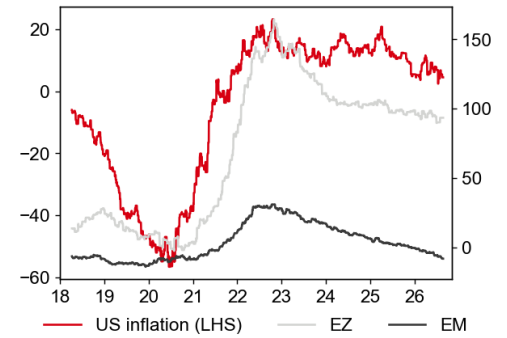
Macro

1. HSBC activity surprise indices



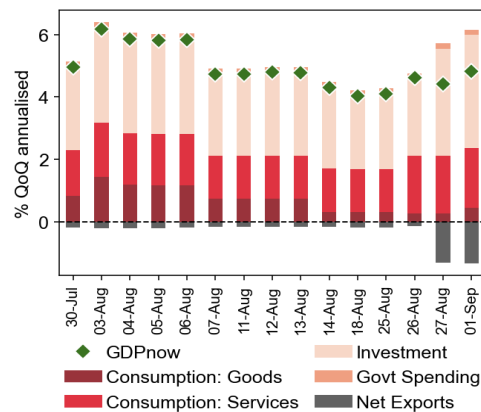
Source: Bloomberg, HSBC

2. HSBC inflation surprise indices



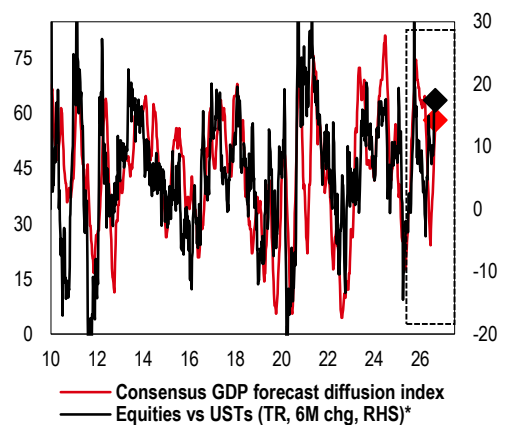
Source: Bloomberg, HSBC

3. Q3 2026 GDPnow breakdown



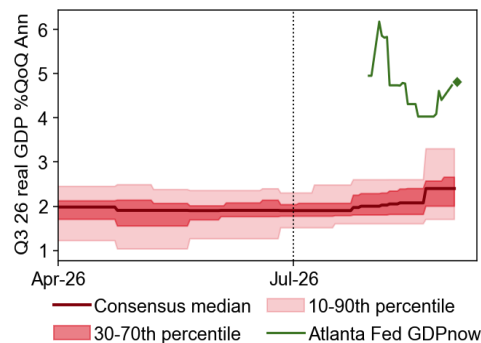
Source: Bloomberg, HSBC

4. Consensus GDP diffusion index



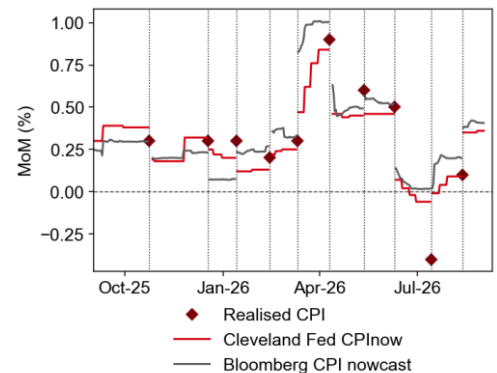
Source: Bloomberg, HSBC

5. US Q3 2026 GDP exp.

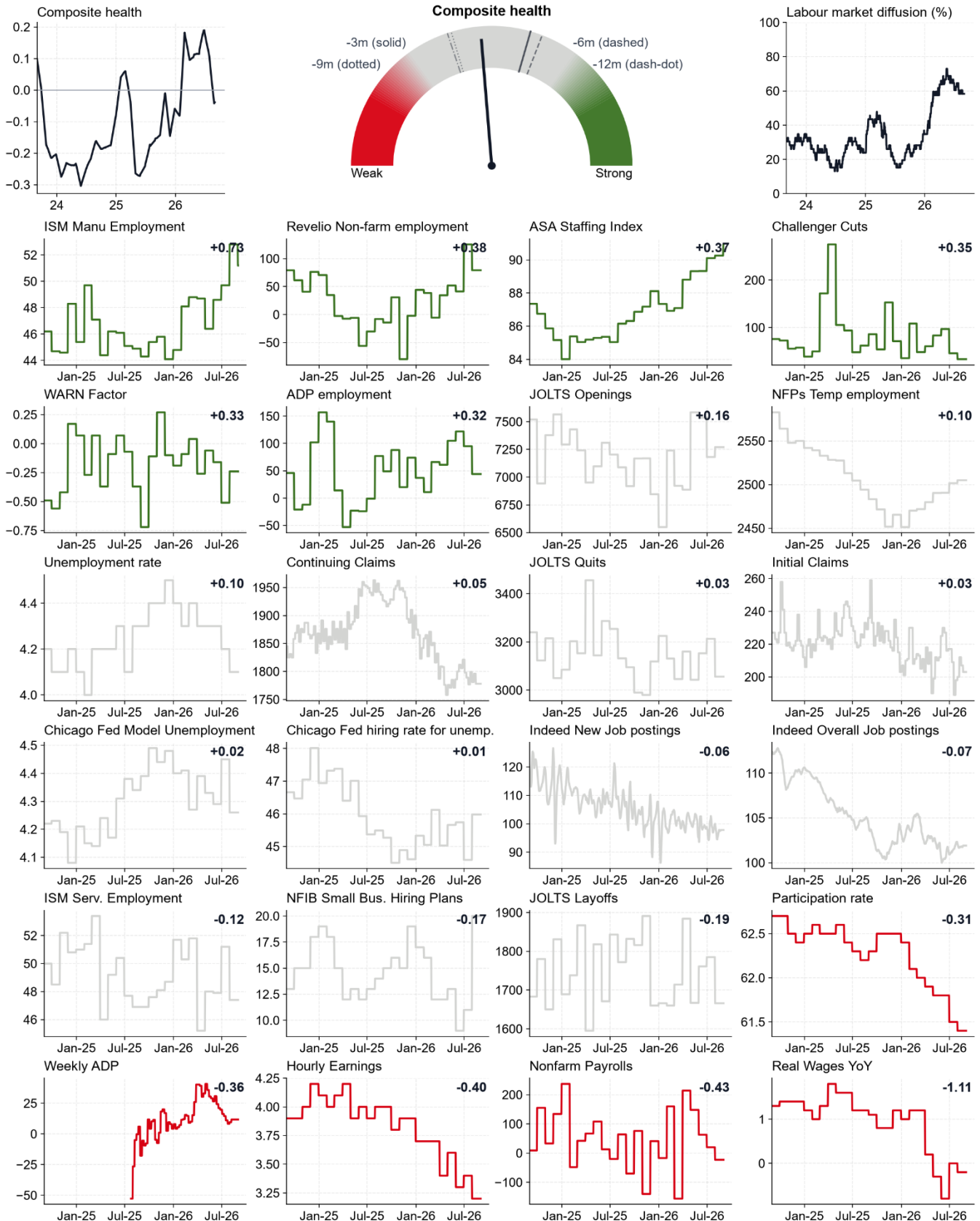


Source: Bloomberg, Atlanta Fed, HSBC. Note: See [Confounding the consensus](#) (23 October 2023) for more on how GDPNow led the consensus in 2023. For further information on HSBC's surprise indices, please visit our research website.

6. CPI nowcasts vs realised CPI

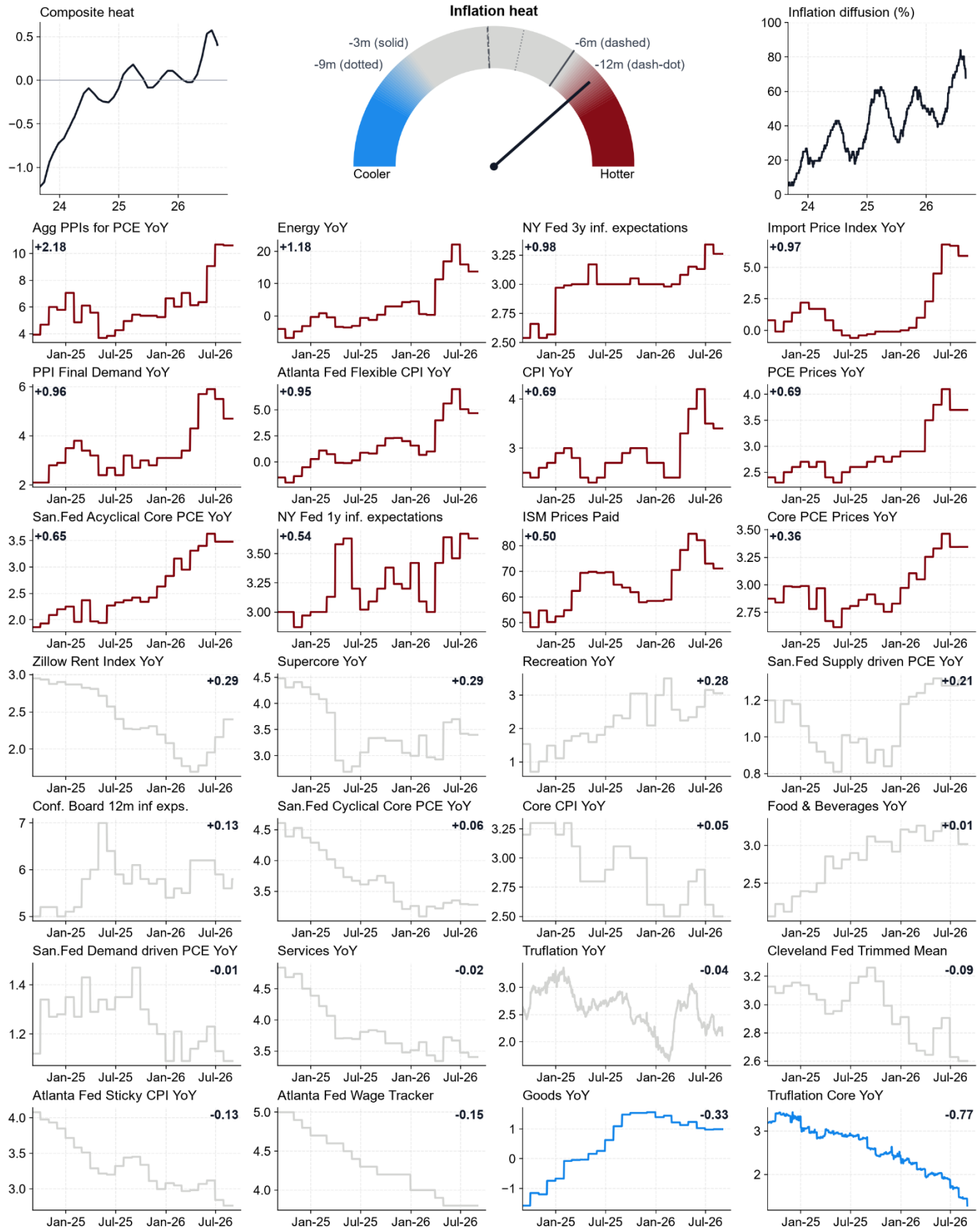


Source: Bloomberg, HSBC

US Labour Market Dashboard — as of 01 Sep 2026


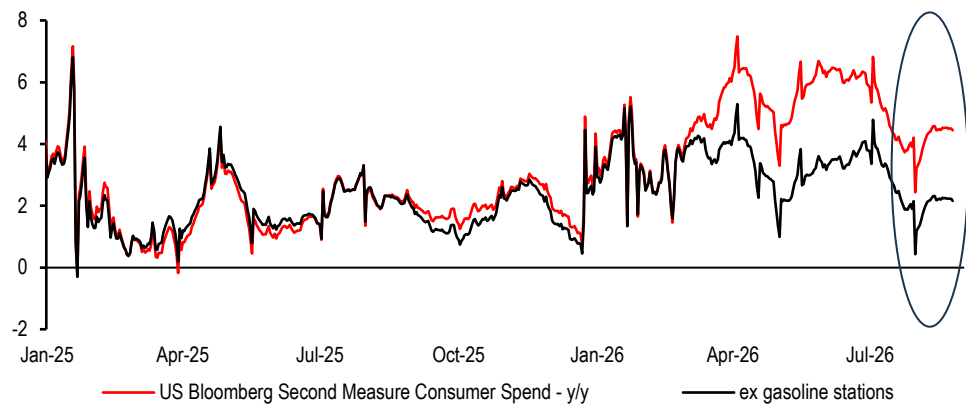
Source: Bloomberg, HSBC. Note: See [A dovish turn](#) (10 August 2026) for more information.

US Inflation Dashboard — as of 01 Sep 2026



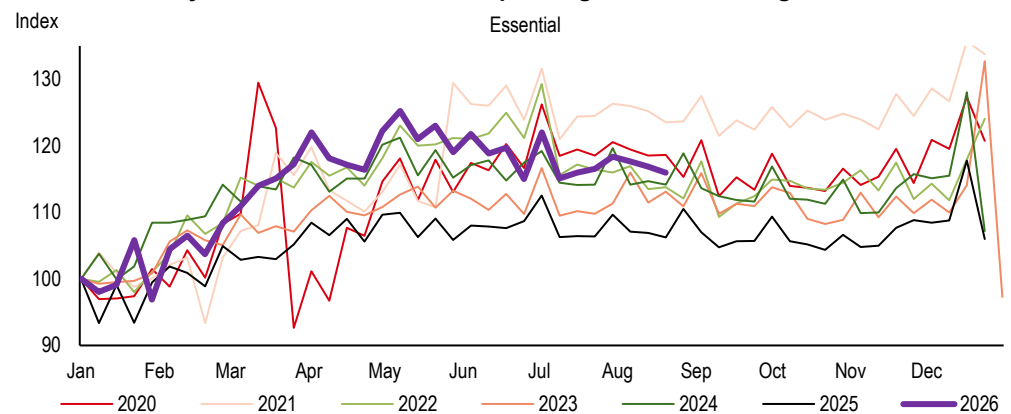
Source: Bloomberg, HSBC. Note: See [A dovish turn](#) (10 August 2026) for more information.

7. US credit card spending



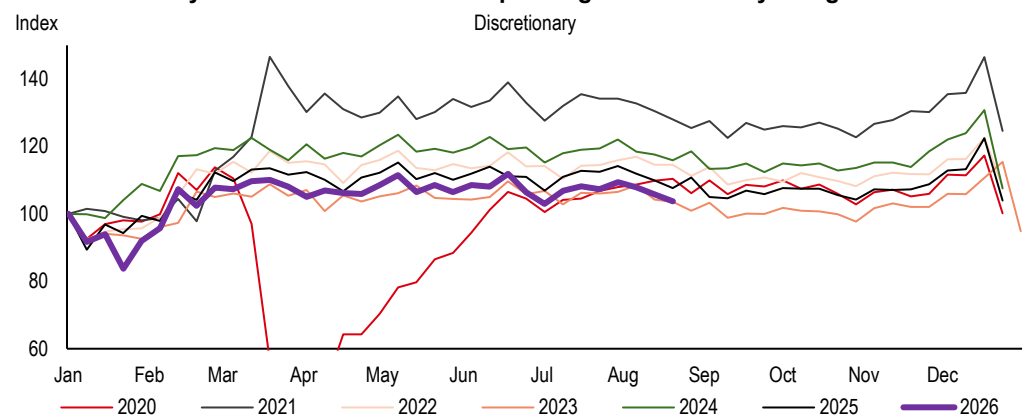
Source: Bloomberg, HSBC

8. US secondary measures of credit card spending – essential categories



Source: Bloomberg, HSBC

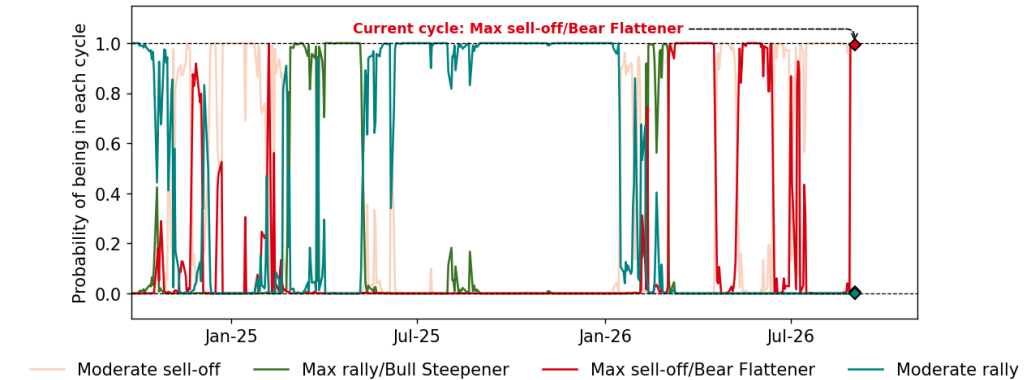
9. US secondary measures of credit card spending – discretionary categories



Source: Bloomberg, HSBC

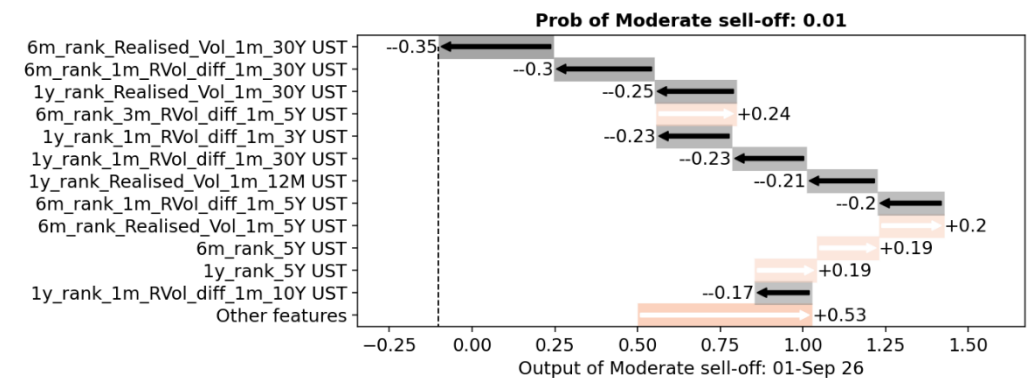
TYCCLES

1. TYCCLES probability over time



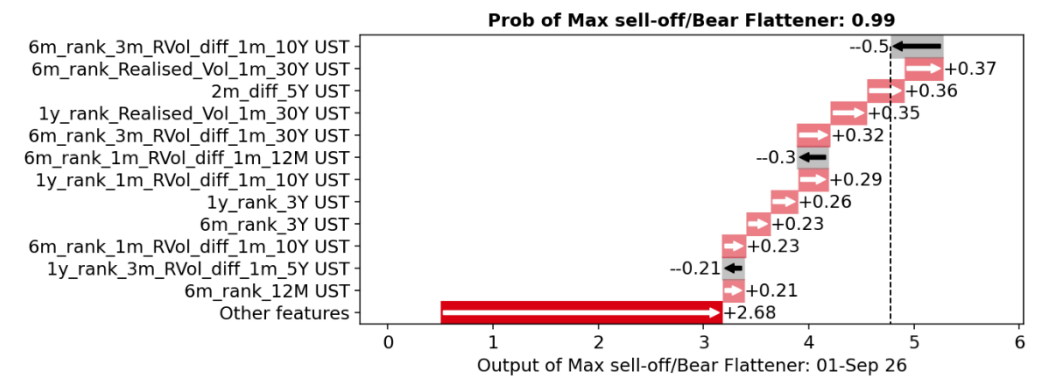
Source: HSBC, Bloomberg

2. TYCCLES moderate sell-off drivers



Source: HSBC, Bloomberg

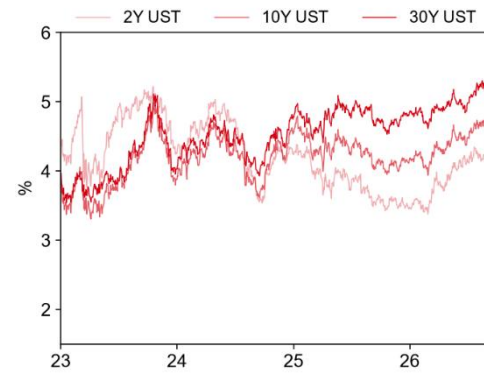
3. TYCCLES regimes max sell-off



Source: HSBC, Bloomberg

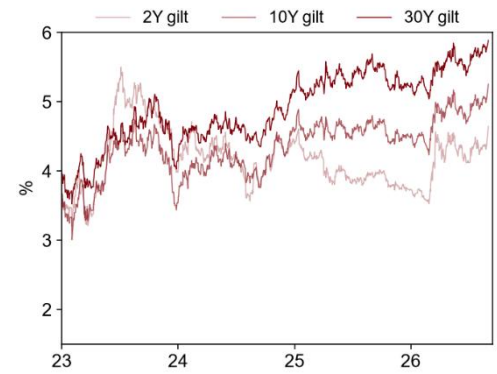
Rates

1. US Treasury curve through time



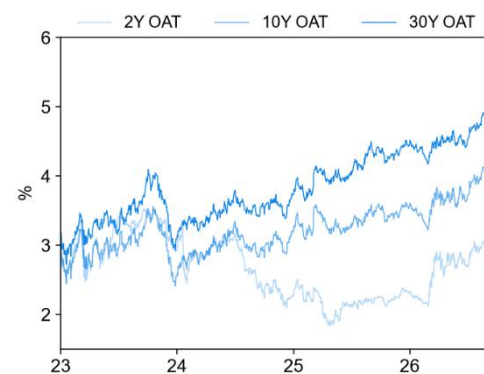
Source: HSBC, Bloomberg

2. Gilt curve through time



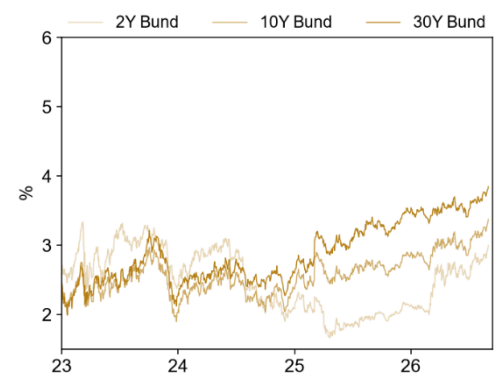
Source: HSBC, Bloomberg

3. OAT curve through time



Source: HSBC, Bloomberg

4. Bund curve through time



Source: HSBC, Bloomberg

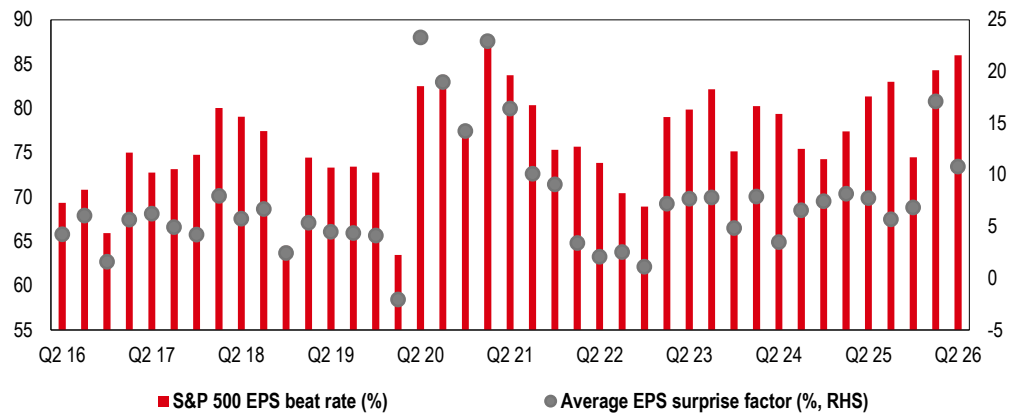
Equities

1. S&P 500 earnings over a period of time

S&P 500	Q1 25	Q2 25	Q3 25	Q4 25	Q1 26	Q2 26f	Q3 26f	Q4 26f
EPS y/y in %	12.9%	11.5%	12.6%	13.3%	27.7%	51.2%	27.9%	25.6%
EPS in USD	62.72	66.29	69.41	73.29	80.10	100.23	88.80	92.06
% change, q-o-q						25.1%	(11.4%)	3.7%
Consumer Discretionary	12.58	15.09	16.89	14.60	16.99	27.79	16.84	16.76
% change, q-o-q						63.5%	(39.4%)	(0.5%)
Consumer Staples	8.44	9.39	9.70	9.33	8.92	10.62	10.08	10.15
% change, q-o-q						19.1%	(5.1%)	0.7%
Energy	10.14	9.73	10.71	10.03	10.28	23.89	21.86	18.73
% change, q-o-q						132.4%	(8.5%)	(14.3%)
Financials	11.83	12.82	13.77	13.45	14.40	15.92	14.44	14.99
% change, q-o-q						10.5%	(9.3%)	3.8%
Health Care	22.96	22.59	22.81	20.94	22.36	21.27	24.43	23.97
% change, q-o-q						(4.9%)	14.9%	(1.9%)
Industrials	11.09	12.28	12.53	14.76	13.41	14.29	14.43	15.16
% change, q-o-q						6.6%	0.9%	5.1%
Materials	4.99	7.03	6.79	6.08	7.07	9.99	8.67	8.57
% change, q-o-q						41.2%	(13.2%)	(1.2%)
Real Estate	3.45	3.53	3.58	3.56	3.59	3.74	3.70	3.83
% change, q-o-q						4.4%	(1.2%)	3.6%
Information Technology	35.73	37.86	43.40	52.84	54.47	65.80	69.81	78.75
% change, q-o-q						20.8%	6.1%	12.8%
Communication Services	4.65	4.66	3.45	4.93	6.95	10.11	5.18	5.48
% change, q-o-q						45.4%	(48.8%)	5.8%
Utilities	5.90	4.57	6.99	4.53	6.66	5.07	7.30	5.16
% change, q-o-q						(23.9%)	44.1%	(29.3%)

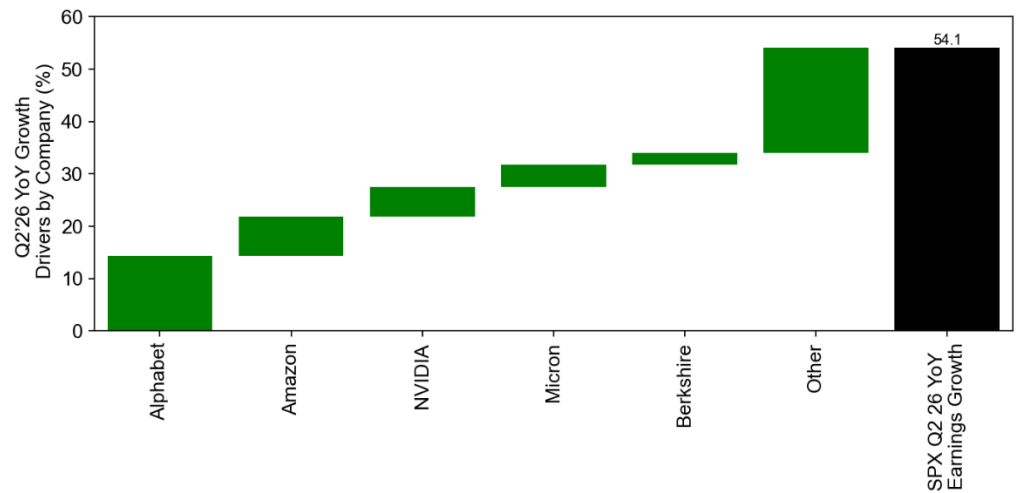
Source: FactSet, HSBC

2. S&P 500 earnings beat rate and surprise factor over a period of time



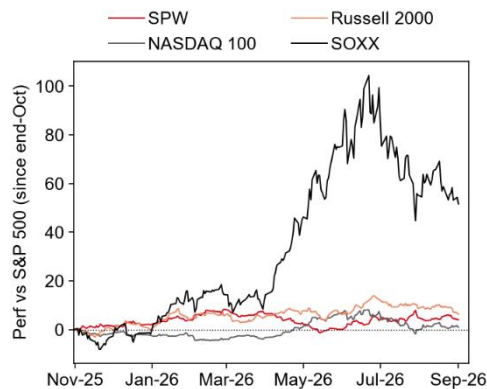
Source: FactSet, HSBC. For Q2 2026, surprise factor is excluding Alphabet and Amazon

3. S&P 500 Q2 2026 earnings contribution by companies



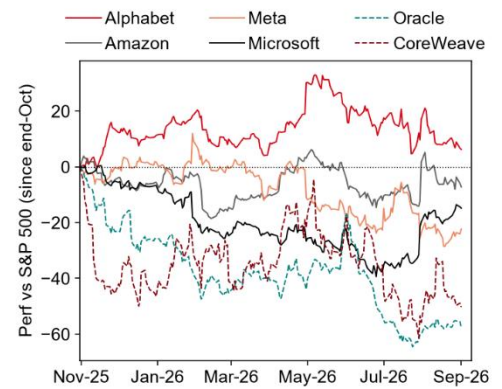
Source: FactSet, HSBC

4. US equity indices vs S&P 500



Source: HSBC, Bloomberg

5. US hyperscalers vs S&P 500



Source: HSBC, Bloomberg

Disclosure appendix

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Underweight: For corporate credit, the issuer's fundamental credit profile is expected to deteriorate within the next six months. For covered bonds, the bonds issued in this country are expected to underperform those of other countries in our coverage over the next six months.

Definitions for trades (Rates & Credit)

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Buy protection and **Sell protection** refer to a credit default swap (CDS) or a credit default swap index (CDS index): the protection buyer/seller is effectively selling/buying the credit risk of a single reference entity (CDS) or multiple reference entities (CDS Index).

Pay and **receive** refer to a trade call to pay or receive the fixed leg of an interest rate swap (IRS), a non-deliverable IRS, the first-named leg of a basis swap, the realised inflation leg of an inflation swap, or a forward rate agreement (FRA). An investor that executes a pay or receive trade is said to be "**paid**" or "**received**."

Payer and **receiver** refer to inflation caps or floors and to swaptions: a payer is an option giving the right but not the obligation to enter a paid position in an interest rate or inflation swap, and a receiver is an option giving the right but not the obligation to enter a received position in an interest rate or inflation swap.

ASW (also asset-swap, Buy on asset swap, Buy on an asset-swapped basis): Buy a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

RASW (also reverse asset-swap, Sell on asset swap, Sell on an asset swapped basis): Sell a bond packaged with a swap that is tailored to eliminate the bond's interest rate risk, effectively transforming the bond to a floating rate instrument whilst preserving the credit exposure to the bond issuer.

Distribution of fundamental credit and covered bond recommendations

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Neutral	41%	(0% of these provided with Investment Banking Services in the past 12 months)
Underweight	27%	(0% of these provided with Investment Banking Services in the past 12 months)

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Distribution of trades

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